

Wall Street. One bestselling author portrayed the GameStop buying panic as a “millennial version of the French Revolution.”⁶ In the event, the stock plunged to a fraction of its peak, though as of late 2022 still considerably higher than before.

A more substantive phenomenon than meme stocks was the craze for special purpose acquisition vehicles (SPACs). We’ll discuss SPACs at some length, not because they were truly “special,” but rather they were so illustrative of the way that Wall Street, in Graham’s day and in ours, goes off the rails: a clever if minor financial innovation is exploited by those with pecuniary interest and sold to investors whose desire for large and swift profits blinded them to the utter lack of a fundamental basis, that is, of a margin of safety. For a brief moment in 2020 and 2021, SPACs transformed the market for initial public offerings. As with private equity, the novelty of SPACs was one of *form*, not substance. Private companies have been raising capital via IPOs since the early days of Wall Street. What distinguished SPACs was a twist on the usual sequence. Normally, at some point after starting a business, insiders go to Wall Street and try to raise money. SPACs inverted the order. *First*, Wall Street raised the money; *then* the sponsors looked for a company in which to deploy it.

Even a novice to Wall Street—maybe *especially* a novice—will detect a certain illogic to this way of doing things. Perhaps in no area of recent finance was Ben Graham so sorely missed, because despite considerable press coverage (much of it fawning), the risks to investors in SPACs were widely overlooked.⁷

SPACs are paper corporations that sell shares in IPOs, customarily priced at \$10 a share. Unlike a traditional IPO, a SPAC raises capital

⁶ Ben Mezrich, *The Antisocial Network*.

⁷ A singular, and praiseworthy, exception was Michael Klausner, Michael Ohlrogge, and Emily Ruan, “A Sober Look at SPACS,” European Corporate Governance Institute, Working Paper, January 2022.